Now we end up with an intrinsic value of $9.6 billion. BBBY's current market cap is $10.7 billion. If we made the investment, we would end up with an annualized return of a little under 10 percent. If we have good low-risk alternatives where we can earn 10 percent, then BBBY does not look like a good investment at all. So what is BBBY's real intrinsic value? My best guess is that it lies somewhere between $8 to $18 billion. And in these calculations, I've assumed no dilution of stock via option grants, which might reduce intrinsic value further.

Table 7.4 Conservative Discounted Cash Flow (DCF) Analysis of Bed Bath and Beyond

Year	Free Cash Flow ($)	Present Value ($MM) of Future Cash Flow
Excess cash		850
2006	469	426
2007	535	442
2008	604	454
2009	680	464
2010	751	466
2011	827	467
2012	901	462
2013	973	454
2014	1041	442
2015	1103	425